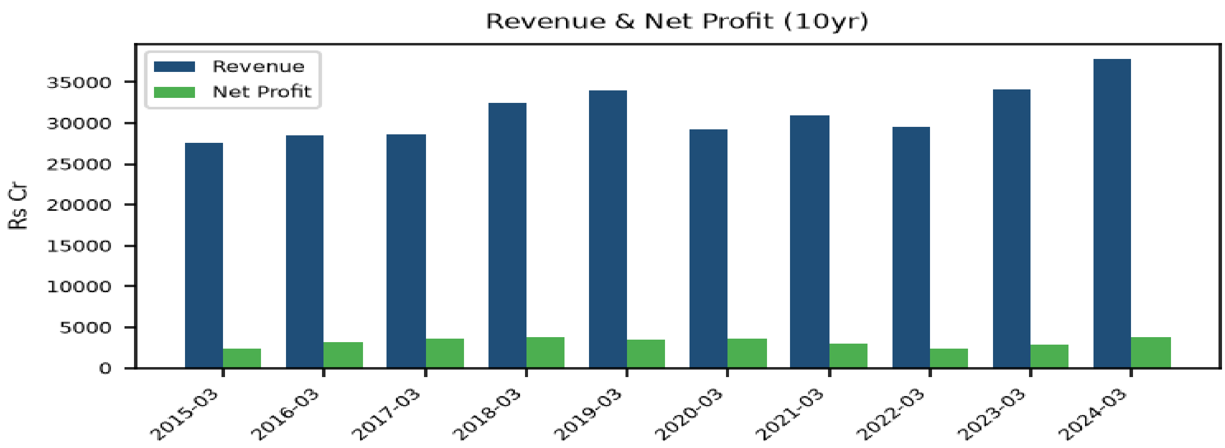
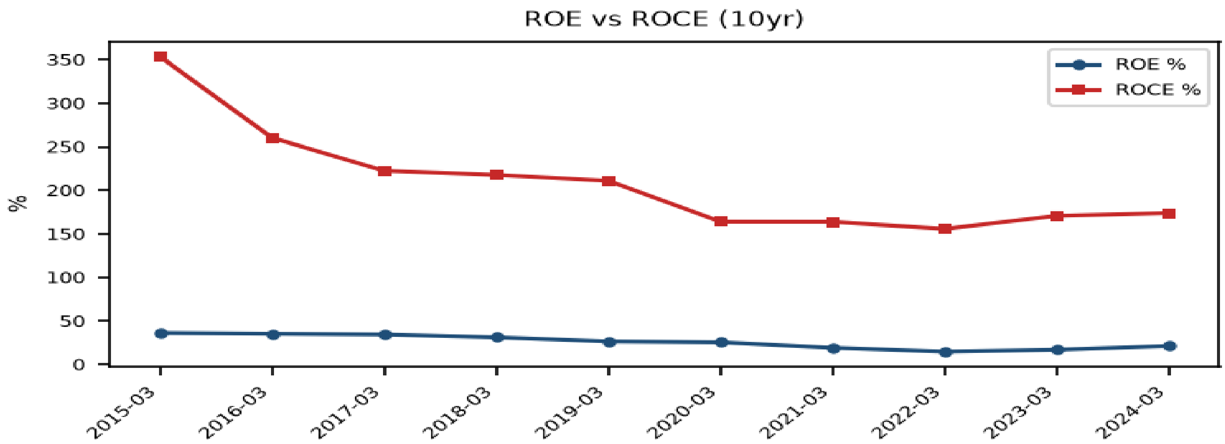
Hero MotoCorp Ltd (HEROMOTOCO)

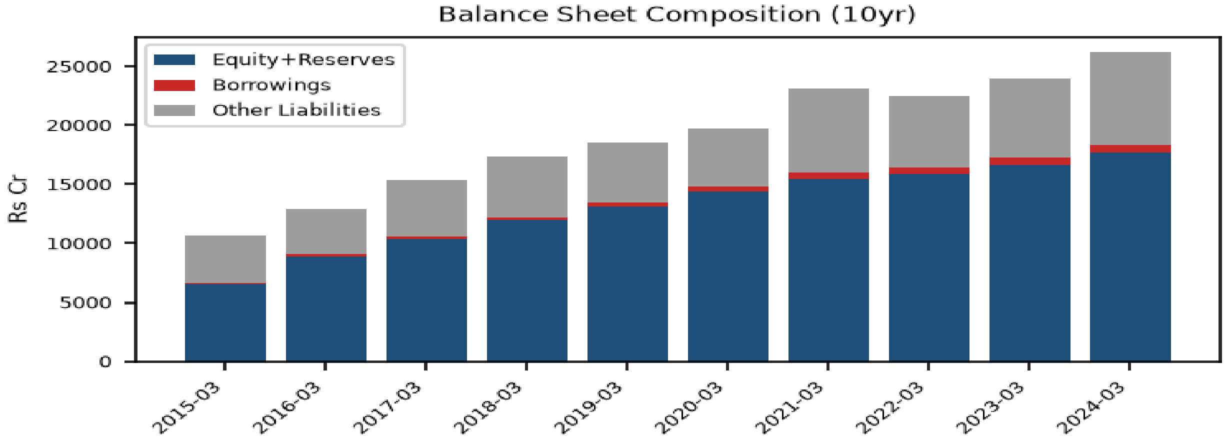
Sector: Consumer Discretionary

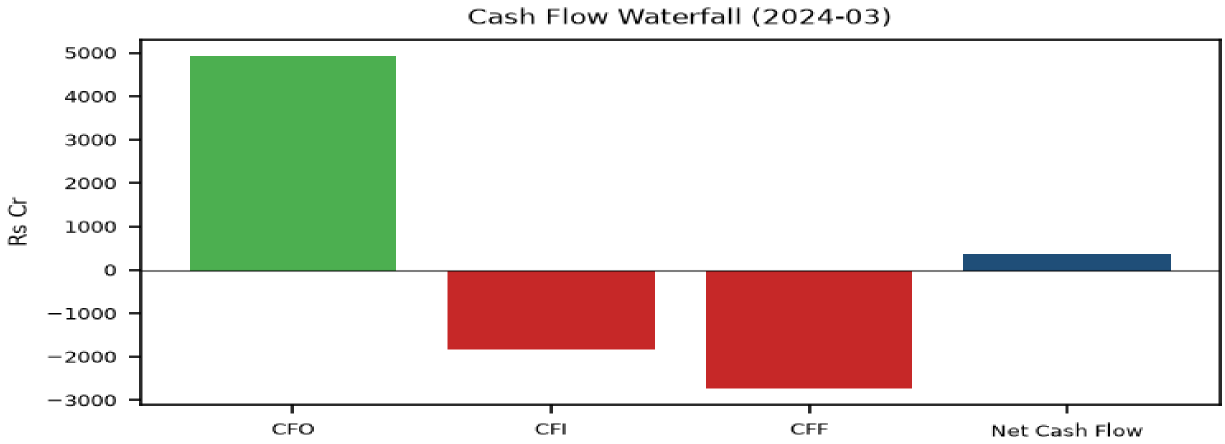
ROE	ROCE	D/E
21.1%	173.7%	0.03x

OPM	Revenue CAGR 5yr	Free Cash Flow
86.1%	2.2%	Rs 3,095 Cr









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns